JAWAHARLAL NEHRU TECHNOLOGICAL UNIVERSITY ANANTAPUR COLLEGE OF ENGINEERING (AUTONOMOUS) ANANTHAPURAMU– 515002 (A.P) INDIA
Department of Computer Science and Engineering
II B.Tech I Semester (R23)

Subject Code	Title of the Subject	L	T	P	C
23A35401a	**MANAGERIAL ECONOMICS AND FINANCIAL ANALYSIS (Common to EEE. ECE. CSE)**	**2**	**0**	**0**	**2**

Course Objectives:

- To inculcate the basic knowledge of microeconomics and financial accounting
- To make the students learn how demand is estimated for different products, input-output relationship for optimizing production and cost
- To Know the Various types of market structure and pricing methods and strategy
- To give an overview on investment appraisal methods to promote the students to learn how to plan long-term investment decisions.
- To provide fundamental skills on accounting and to explain the process of preparing financial statements.

Course Outcomes:

- Define the concepts related to Managerial Economics, financial accounting and management(L1)
- Understand the fundamentals of Economics viz., Demand, Production, cost, revenue and markets (L2)
- Apply the Concept of Production cost and revenues for effective Business decision (L3)
- Analyse how to invest their capital and maximize returns (L4)
- Evaluate the capital budgeting techniques. (L5)
- Develop the accounting statements and evaluate the financial performance of business entity (L6)

UNIT - I Managerial Economics

Introduction – Nature, meaning, significance, functions, and advantages - Demand-Concept, Function, Law of Demand - Demand Elasticity- Types – Measurement Demand Forecasting-Factors governing Forecasting, Methods - Managerial Economics and Financial Accounting and Management.

UNIT - II Production and Cost Analysis

Introduction – meaning, functions - Production Function– Least-cost combination – Short run and long run Production Function- Isoquants and Isocosts, Cost & Break-Even Analysis - Cost concepts - Break-Even Analysis (BEA) - Determination of Break-Even Point (Simple Problems)

UNIT - III Business Organizations and Markets

Introduction – Forms of Business Organizations- Sole Proprietary - Partnership - Joint Stock Companies - Public Sector Enterprises - Perfect and Imperfect Competition - Features of Perfect Competition Monopoly- Monopolistic Competition–Oligopoly-Price-Output Determination - Pricing Methods and Strategies

UNIT - IV Capital Budgeting

Introduction –Meaning, Capital Budgeting– Features, Proposals, Methods and Evaluation - Pay Back Method, Accounting Rate of Return (ARR) Net Present Value (NPV) Internal Rate Return (IRR) Method (sample problems)

UNIT - V Financial Accounting and Analysis

Introduction –- Double-Entry Bookkeeping, Journal, Ledger, Trial Balance- Final Accounts (Trading Account, Profit and Loss Account and Balance Sheet with simple adjustments) - Introduction to Financial Analysis - Analysis and Interpretation of Liquidity Ratios, Activity Ratios, and Capital structure Ratios and Profitability

Textbooks:

1. Varshney & Maheswari, *Managerial Economics*, Sultan Chand & sons. 2014
2. Aryasri, *Business Economics and Financial Analysis*, 4/e, MGH. 2008

Reference Books:

1. Ahuja H, *Managerial Economics,* S Chand. 2022
2. S.A. Siddiqui and A.S. Siddiqui, *Managerial Economics and Financial Analysis*, New Age International. Third edition 2022
3. Joseph G. Nellis and David Parker, *Principles of Business Economics*, Pearson, 2/e, New Delhi. 2002
4. Domnick Salvatore, *Managerial Economics in a Global Economy*, Cengage. 2004

Online Learning Resources:

https://www.slideshare.net/123ps/managerial-economics-ppt
https://www.slideshare.net/rossanz/production-and-cost-45827016
https://www.slideshare.net/darkyla/business-organizations-19917607
https://www.slideshare.net/balarajbl/market-and-classification-of-market
https://www.slideshare.net/ruchi101/capital-budgeting-ppt-59565396
https://www.slideshare.net/ashu1983/financial-accounting